

Marx's point of departure from the classical Economics:

Initially Marx started with the Ricardo's labour theory of value but he made a great departure from the classical economics ^{and} ~~was~~ ^{brought} a new framework that described economies as a struggle ^{struggle!} for power between different classes. In considering the deficiencies of Ricardo's work, Marx was to centre his entire critique of political economy on what he considered its decisive weaknesses ^{its measures}, its tendency to view society ahistorically, or, more specifically, ^{with/without} its inclination to treat capitalist economy as one working directly in accordance with the laws of political economy's erroneous conceptions of value, money, capital etc. which fill the pages of "Capital" and even more so of ~~them~~ "Theories of Surplus value" rest finally upon this, his basic criticism. Marx stated

"Economists express the relations of bourgeois production, the division of labour, credit, money, etc. as fixed ^{immutable} immutable, eternal categories... Economists

explain how production takes place in the above mentioned relations, but what they do not explain is how these relations themselves are produced, that is the historical movement that gave them birth..."

Marx added historical perspective into economic analysis and ~~his~~ some of his main contributions were:

1. He shaped the labour theory of value ^{accurately} ~~into~~ and viewed that labour is the sole sources of value in production. He stated

"That the exchange value of a commodity is determined by the quantity of socially necessary labour contained in it",

2. Marx in contrast to the classical economists sought to understand how this aspect of capital came into existence and then how it was perpetuated.

3. According to Marx, capitalism contained the seeds of its own destruction. Communism was the inevitable end to the process of evolution begun with feudalism slavery to feudalism to capitalism to socialism.

¶ Marx emphasized on the significance of technology. Marx clearly recognized that machinery, technological innovation directly enhanced the productivity of labour. Thus "the greater the productivity of labour, the less labour time is involved in the production of the commodity, and the lesser will be its value, or the lower will be the price of the commodity". The value of a commodity varies directly as the quantity of labour and inversely as the productiveness of the labour incorporated in it.

¶ Marx distinguished capital into constant capital and variable capital where he defined constant capital as "that part of capital represented by the means of production, the raw materials, auxiliary materials, etc which does not in the process of production undergo any quantitative alteration of value" and variable capital as "that part of capital represented by labour power, which both reproduces the equivalent of its own value and

also produces an excess, or a surplus-value, which itself varies... This part of capital continually being transformed from a constant into a variable magnitude".

✶ "The concept of surplus value" and "how the falling rate of profit make economic crisis for the capitalists" were important works of Marx.

Therefore, we can say that Karl Marx created a new era and his works are known as Marxism.